

Why Asset Allocation Funds Are the Smarter Choice



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Why do you prefer a gourmet dish to be made by a restaurant chef and not a home cook? Or why do you prefer a local driver and not yourself to drive up winding hill station roads? It's probably because you trust a professional to do a better job than an amateur. This is the case with most things in life – and especially with investing.

While a home cook can put together a decent dish, a chef would know just the right amount of salt to add, just the right amount of water to drain, just the right amount of time to cook – to make that dish perfect. And while you could drive yourself up the hills, a local driver is likely to know every bend and blind curve to navigate the car with more safety and ease.

Similarly, a retail investor could opt for Do-It-Yourself investing and asset allocation but the investment outcomes

will probably be far from optimal.

This is especially true in the current environment where a cloud of uncertainty is looming over financial markets with President Trump's newly announced reciprocal tariff policy. Structurally, global inflation is expected to rise as high tariffs kick in. Global growth is expected to slow as consumers feel the pinch of higher prices and cut spending – this is likely to be bad news for equity markets. US recession fears, trade wars and geopolitical tensions are likely to keep gold relevant as a safe haven asset. On the domestic front, the RBI's recent 25 basis point cut in the repo rate signals a monetary policy push aimed at reversing the ongoing slowdown in growth momentum.

The macroeconomic backdrop is thus tricky to navigate. Given the uncertainty and expected volatility, asset allocation or spreading investments across a mix of asset classes could be a smart strategy – not only to enhance returns, but also to manage risk. But how does one decide the right asset to take exposure to, when to take exposure and how big or small the exposure should be? Professional fund managers who understand the dynamics of financial markets, stay abreast with market developments and move in and out of asset classes in a research-backed, efficient and timely way can optimize these asset allocation outcomes.

Asset allocation helps reduce dependence on any one asset class as no single asset class can perform well all the time. For instance, equities thrive on growth and confidence, and falter during an economic slowdown. Debt does well in a period of falling interest rates but takes a step back when rates start to move up. Gold advances in times of high inflation or uncertainty, only to cool off when interest

rates or currencies strengthen.

Prospects of the different asset classes are thus tied to the changing economic conditions reflected in parameters such as GDP growth, interest rates, inflation, fiscal deficit, currency exchange rates and the like. Therefore, understanding how these economic levers move and how they affect various asset classes is crucial for making asset allocation decisions.

Asset allocation is one of the most significant determinants of portfolio returns and risks over the long run. But deciding the right asset, right time and right allocation for investing would require time and expertise which retail investors may not have. That's where Asset allocation mutual funds come in.

Asset allocation mutual funds divide their investment portfolio across equities, debt and gold in a way that capitalizes on the asset class set to outperform and limits exposure to the asset class expected to underperform. These funds can be a one-stop solution for investing in different asset classes. They can also be a smart choice for hands-off investors who are looking to outsource their investment decisions to professionals. These mutual funds also enable efficient rebalancing of a portfolio as their movements between asset classes are not subject to capital gains tax. They eliminate inefficiencies caused by investor emotions of greed and fear by instead relying on research, well-defined frameworks and discipline to invest.

Asset allocation is the cornerstone of successful investing and outsourcing this to professionally managed asset allocation mutual funds can make a significant difference — just like leaving that complex dish or tricky road to an expert.